

HEADLINE JUDGMENT

Note: 28 Jul figures are intraday prints; 27 Jul is now a final close (\$85.87 Brent, down \$5.81 from 24 Jul's \$91.68 close — the second consecutive daily decline and the fastest two-session unwind since the 2–3 Jul deal-hope window). Restated continuation series (front-month CO2/CL2) in force. Score HOLDS at 25/30 — all six channels unchanged, a TENTH session at 25 — and the de-escalation that began over the weekend is now confirmed on closes, not just intraday prints: Brent has fallen in back-to-back sessions (\$94.26 → \$91.68 → \$85.87), \$8.39 off the 23 Jul peak close, and prints \$85.40 this morning (H 85.58 / L 84.96), a further 47-cent decline; the active COA contract, which touched \$100.69 on Thursday, prints \$87.94. The US strike pause has now held for three consecutive nights (25–27 Jul) — the longest of the war — while the naval blockade stays fully operational; Iran–Oman technical talks on Hormuz transit are advancing toward a framework in which Iran would manage vessel transit with fewer restrictions, closer to the June interim deal. Trump on Sunday dismissed concerns that US munitions stockpiles were running low, pushing back on the operational-necessity reading of the pause. Friday's inflation-complex divergence has partly reversed: 5Y5Y closed 27 Jul at 2.2617% — down from Friday's 2.2877%, the war's closest trigger approach — and prints 2.2603% this morning, now 3.8 bp from the →5 line on a close basis rather than Friday's 1.2 bp. AAA gasoline's latest confirmed print is still \$4.75 (24 Jul, a ninth consecutive rise) — sitting exactly AT the political→5 line but not through it — and the extract has now gone four sessions (25–28 Jul) without a fresh AAA print, the longest gap of the war outside the JGLA stale-carry episode; today's edition cannot say whether the run continued, stalled, or reversed with crude. The 10Y closed 27 Jul at 4.6487% — its first close back below the 4.65% Stage-4 leg after three consecutive closes above, by just 0.13 bp — and prints 4.6345% this morning (1.55 bp below); the 30Y closed 5.1365% and prints 5.1239%, narrowing the cushion above the Treasury-channel's 5.00% downgrade line to 12.4 bp intraday even as it widens the gap to Stage-4 Threshold B's 5.20% upgrade line to 7.6 bp — the same rally is disarming the upside threshold and arming the downside one, simultaneously. MOVE's confirmed 27 Jul close ticked back up to 77.21 (+0.39 from Thursday's 76.82) — Friday's snap was one session, not a reversal — still 2.2 pts above the 75 downgrade leg, with no 28 Jul print yet. No trigger fired on a confirmed close, so no channel moved; with both event channels maxed, the hold is an artifact of the scale. Netanyahu meets Trump at the White House TODAY (11am ET, Iran foremost on the agenda) — the session's swing factor for whether the pause hardens or resets — and the FOMC's two-day meeting also opens today, with hike odds priced near 34%, up sharply from 13% a week earlier, against Chair Warsh's public line that inflation 'remains too high.' Sequencing 25 → 25 → 25.

1 · Live tape

Oil and natural gas — Bloomberg front-month / active

28 Jul 2026 readings are intraday prints; 27 Jul and earlier are final closes (restated continuation series; front-month CO2/CL2). d/d deltas are 28 Jul intraday vs 27 Jul close; w/w deltas are vs 21 Jul close.

Benchmark	Intraday 28 Jul	Δ d/d	Δ vs pre-war close (27 Feb)	BBG ticker
Brent front-month	\$85.40 /bbl (H 85.58 / L 84.96)	−\$0.47 (−\$3.12 w/w)	from \$72.48 (+17.8%) — \$12.92/bbl premium, down from the 23 Jul close's \$21.78 peak premium; active COA prints \$87.94	CO2 Comdty (Close)
Brent · 27 Jul close (final)	\$85.87 /bbl (−\$2.01 vs my 27 Jul intraday \$87.88)	−\$5.81 d/d — second straight decline; US leg extended the Asia-session drop for a second session	\$13.39 below the \$95 trigger on a close basis — the widest gap since 16 Jul; active COA closed \$88.36	CO2 Comdty (Close)
WTI front-month	\$79.77 /bbl	−\$0.48 (−\$4.57 w/w)	from \$67.02 (+19.0%) — the CL2 artifact persists: 27 Jul CL2 close \$80.25 vs active CLA \$82.61; CLA prints \$82.02 intraday	CL2 Comdty (Close)
Brent–WTI spread	\$5.63 /bbl	flat (+\$0.01)	~\$5.9 on the active contracts	derived
Henry Hub natural gas	\$2.751 /MMBtu	−\$0.016 (−\$0.114 w/w)	from \$3.06 (−10.2%) — US gas further BELOW pre-war; not Hormuz-exposed	NGA Comdty (Close)
TTF Dutch gas (active)	€56.98 /MWh	−€1.27 (−€2.68 w/w)	from €31.23 (+82.5%) — the second straight session off the 24 Jul war-era record €63.58 (one confirmed close plus this morning's print); €6.60 has now come out	TZTA Comdty (Close)
Japan/Asia LNG (27 Jul close — fresh print)	¥3,492	−¥101 vs the ¥3,593 24 Jul print	from ¥1,669 (+109.2%) — eased off the war-era record on its one fresh print since; no 28 Jul print yet (flagged, not carried)	JGLA Comdty (Close)

US Treasuries and inflation expectations — Bloomberg

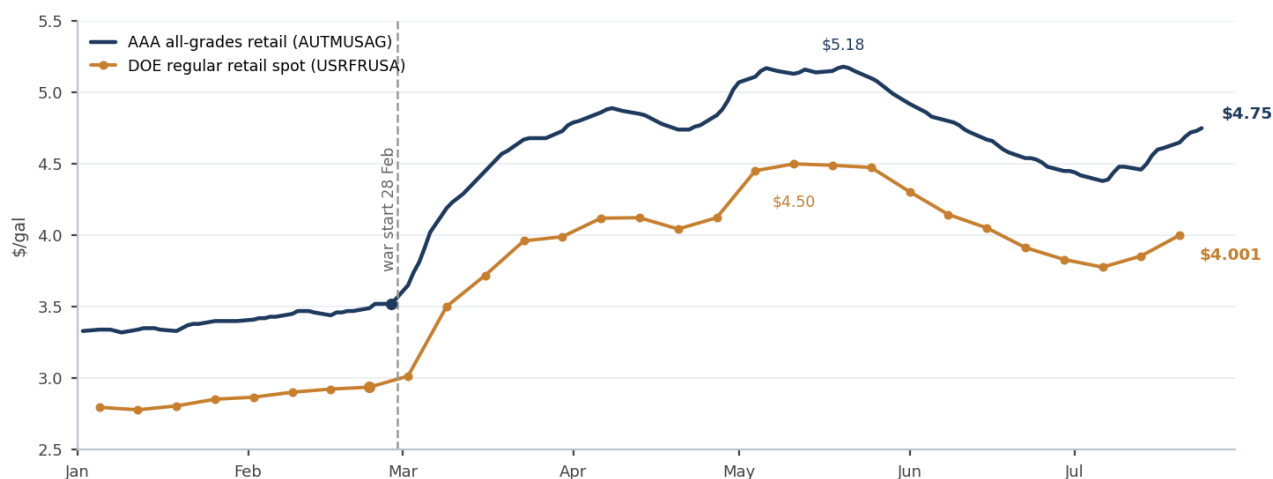
28 Jul 2026 yields are intraday. d/d deltas are vs the 27 Jul close; w/w vs 21 Jul. The 10Y's three-close-above run on Stage-4 Threshold B ended 27 Jul; the 30Y's gap to its own 5.00% downgrade line narrowed to 12.4 bp intraday. See section 2.1 for the full read.

Tenor	Yield (%) — intraday 28 Jul	Δ d/d (bp)	Δ w/w (bp)	Δ vs pre-war (bp)	BBG ticker
2-year UST	4.31	−1.1	+5.0	+93.7 (from 3.37%)	USGG2YR Index
5-year UST	4.39	−1.2	+2.3	+89.1 (from 3.50%)	USGG5YR Index
10-year UST	4.63	−1.4	+0.6	+69.7 (from 3.94%) — 27 Jul close 4.6487%, FIRST close below the 4.65% Stage-4 leg after three above	USGG10YR Index
30-year UST	5.12	−1.3	−0.7	+51.3 (from 4.61%) — 27 Jul close 5.1365%, 6.35 bp below the 5.20% leg, 13.65 bp above the 5.00% leg	USGG30YR Index
2s10s spread	+32.1 bp	−0.4	−4.2	−23.6 (flatter)	USYC2Y10 Index
10Y breakeven inflation	2.203	+0.0	−6.7	−5.4 (from 2.257%) — 27 Jul close BELOW the pre-war anchor for a second session	USGGBE10 Index
5Y5Y forward inflation	2.260	−0.1	+4.1	+11.8 (from 2.14%) — 27 Jul close 2.2617%, back from Friday's 2.2877% peak; 3.8 bp from the →5 line	USGG5Y5Y Index
SOFR (lagged print, 24 Jul)	3.64	—	—	series lags	SOFRRATE Index

Cross-asset stress and political-transmission gauges — Bloomberg

Gauge	Latest	As of	Δ vs pre-war	Interpretation
DXY	101.51	28 Jul intraday	+3.90 (from 97.61)	Flat on the day; still no haven bid — the dollar remains a bystander, not the stress valve.
MOVE	77.21	27 Jul close (28 Jul lagged)	+3.83 (from 73.38)	Ticked back UP +0.39 from Thursday's 76.82 — one session's snap, not a reversal; 2.2 pts above the 75 leg.
VIX	18.67	27 Jul close (28 Jul lagged)	−1.19 (from 19.86)	Steady into the pause; the 23 Jul tanker-attack snap has fully unwound.
AAA gasoline	\$4.75 /gal	24 Jul print (latest; 25–28 Jul pending)	+\$1.23 (from \$3.52, +34.9%)	Political-stress reference. NINTH consecutive rise, sitting exactly AT \$4.75, not through it. Four sessions pending — longest gap outside JGLA.
DOE gasoline	\$4.001 /gal	20 Jul weekly print	+\$1.06 (from ~\$2.94, +36%)	The 27 Jul weekly print has NOT landed — a second corroboration series now also pending.

US retail gasoline — the two tracked series, 2026 year-to-date



AUTMUSAG (AAA all-grades retail pump, daily) is the political-stress score reference (pre-war \$3.52, peak \$5.18, latest \$4.75 on 24 Jul); USRFRUSA (DOE regular-grade retail spot, weekly) is the complementary gauge (pre-war ~\$2.94, peak \$4.50, latest \$4.001 on 20 Jul; the 27 Jul print is overdue). Both series have gone dark since 24–25 Jul — the longest simultaneous gap of the war — and the channel holds at 4 until fresh confirmed data lands.

Strait operational state

Indicator	Current reading	Source
Strait closed · day ~150	Closed since 28 Feb; naval blockade plus escort operation (12 vessels redirected, two disabled, two boarded over the weekend). Iran claims it now "controls" the strait — rhetoric, not verified.	CENTCOM / maritime trackers / The Hill
US strikes ON HOLD — three quiet nights (25–27 Jul)	Third straight quiet night; Pentagon/White House call it 'on a hold'; blockade stays fully operational; Trump (27 Jul) dismissed dwindling-stockpile reports. Iran says its own retaliation is paused too.	DoD / White House / NPR / CBS
Houthi strikes on Saudi soil — Jizan/Yanbu, no new attack since	25 Jul strikes set Jizan refinery ablaze (satellite-confirmed); Yanbu missiles intercepted. Saudi Arabia hit Houthi-held Hodeidah 24–25 Jul, its first direct combat entry. No further exchange since the weekend.	NASA FIRMS / Al Jazeera / CNBC
Mediation — Oman talks advance; Netanyahu–Trump today	Iran–Oman weekend talks reportedly progressed toward Iran managing transit with fewer restrictions — nothing signed. Netanyahu meets Trump 11am ET today, Iran 'first and foremost.'	Fortune / Times of Israel

2 · US economic shock — analysis with bond yields

The US economic shock holds at 25/30 for a tenth session, and for the first time since the plateau began the geopolitical and market tapes moved the SAME direction together: the strike pause extended to a third night, Iran–Oman talks advanced toward a transit framework, and crude posted its first back-to-back daily close declines of the war (\$94.26 → \$91.68 → \$85.87), now \$8.39 off the 23 Jul peak. The inflation leg that tightened to the war's closest trigger approach on Friday (5Y5Y 2.2877%, 1.2 bp from 2.30%) eased back to 2.2617% on the 27 Jul close — still the second-closest approach of the war, but receding rather than closing the gap. Political stress is frozen mid-approach: AAA gasoline's last confirmed print, \$4.75 on 24 Jul, sits exactly AT the trigger with four sessions of prints now pending — the longest data gap of the war outside the JGLA episode. Treasury stress is doing something unusual: the same rally that is disarming Stage-4 Threshold B from above (30Y receding from 5.20%, 10Y's three-close-above run just broken) is simultaneously arming the Treasury channel's own downgrade leg from below (30Y cushion above 5.00% narrowed to 12.4 bp intraday) — though MOVE's confirmed 27 Jul close ticked back UP to 77.21, still 2.2 pts above its own downgrade line, so the second leg has not moved with it. No trigger fired on a confirmed close; nothing moved. Two live events frame the next 48 hours: Netanyahu meets Trump at the White House today, and the FOMC's two-day meeting opens today with hike odds re-priced to 34% from 13% a week ago.

2.1 · Bond-yield transmission

28 Jul yields are intraday; d/d vs 27 Jul close, w/w vs 21 Jul. No channel moved; score held at 25.

(i) Treasury — held at 5; both downgrade legs still fail, but the composition of the failure changed. The 30Y closed 27 Jul at 5.1365% — 13.65 bp above the 5.00% downgrade leg, narrowed from 24 Jul's 15.74 bp — and prints 5.1239% this morning, a 12.39 bp cushion; this is the SECOND consecutive session the 30Y has moved toward its own release line. MOVE, however, reversed: the confirmed 27 Jul close ticked UP to 77.21 from Thursday's 76.82, undoing part of Friday's snap, and sits 2.2 pts above its 75 leg with no 28 Jul print yet. Both legs must clear simultaneously and sustain to downgrade — the 30Y leg is closer than it has been in a week, but MOVE has not confirmed the move. The FOMC (28–29 Jul) is the binary: hike odds have risen to roughly a third from an eighth a week ago, and Chair Warsh's public framing — inflation 'remains too high,' and a welcomed appetite for a 'family fight' among committee members — cuts against a dovish surprise. A hawkish outcome (or a strike resumption) re-arms the long end from below; a genuine multi-week pause pulls the 30Y further toward its downgrade line.

(ii) Inflation anchor — held at 4; the war's closest trigger approach receded for the first time since the rally began. 5Y5Y closed 27 Jul at 2.2617%, down 2.6 bp from Friday's 2.2877% peak approach, and prints 2.2603% intraday — now 3.8 bp from the 2.30% line on a close basis (3.97 bp intraday) rather than Friday's 1.2 bp. The pullback tracks the broader risk-off unwind rather than a change in the underlying pass-through story: AAA gasoline's last confirmed print was still a ninth consecutive rise, and the 10Y breakeven stayed BELOW its pre-war anchor for a second session (2.2028% on the 27 Jul close), consistent with the curve pricing medium-term persistence rather than a near-term spike. One close above 2.30% starts the clock; a second consecutive close confirms and takes the channel to 5/5 and the score to 26. The downgrade (sustained at/below the 2.142% anchor, currently 11.8 bp away) is not in play.

(iii) Oil — held at 2; the gap to the \$95 upgrade trigger widened to \$13.39 on the close (\$9.60 intraday), the widest since 16 Jul. Two consecutive daily declines — Friday's \$2.58 drop and Monday's further \$5.81 — have erased \$8.39 of the 23 Jul \$94.26 peak close, and the active COA contract gave back its entire triple-digit excursion (Thursday's \$100.69 close is now \$12.75 above the active spot). The driver is the strike-pause continuation and the advancing Oman transit talks, which have now outweighed the Houthis strikes on Saudi soil for a second consecutive session — Jizan is a domestic refinery, not a crude-export node, and the Yanbu intercepts left the roughly 92% export corridor physically intact. The two-close rule kept the channel at 2 through the entire \$95 approach and now spares it a symmetric whipsaw on the way down: a downgrade to 1 still needs a mediated pause AND a close at or below the \$72.48 anchor — \$13.39 away, further than at any point since mid-July. (OPEC+'s modest August quota increase and the still-elevated CPC Black Sea drone-strike risk remain the supply-side crosscurrents.)

2.2 · What would push the shock to Stage 4

Stage 4 is a credit/auction event. Threshold B continues to disarm from above — both legs moved further from their lines on 27 Jul and again intraday — while the 10Y leg's own three-close-above run just broke.

Threshold A · 13 May 30Y auction. Historical. Cleared at 5.050%; the 9 Jul re-opening cleared 5.06% with a 0.3 bp stop-through. The 30Y still trades above both marks; no coupon supply until the August refunding, so the FOMC statement and presser (Wednesday) are this week's only long-duration pricing events.

Threshold B · 30Y above 5.20% with 10Y above 4.65%. Continuing to disarm: the 30Y closed 27 Jul at 5.1365% (6.35 bp below its leg) and prints 5.1239% (7.61 bp below); the 10Y's three-consecutive-closes-above run (22–24 Jul) ended on 27 Jul, closing 0.13 bp BELOW the 4.65% line — the closest confirmed close to the line all war — and prints 1.55 bp below intraday. One more sub-line close would formally reset the 10Y leg's sustained status. B re-arms on a hawkish FOMC, a strike resumption, or a Yanbu re-attack that lands; it disarms fully if the pause holds through the week and the FOMC surprises dovish.

Threshold C · MOVE above 130. Far off — 77.21 on the last confirmed close, and the metric ticked up rather than down on 27 Jul, a reminder that the vol bid has not fully unwound even as spot risk has.

2.3 · Cross-asset

The unwind widened and deepened: crude posted its first back-to-back daily close declines of the war, European gas fell for a second straight session (TTF €56.98, €6.60 off the 24 Jul record), Asia LNG eased on its one fresh print since the record (¥3,492, –¥101, no 28 Jul print yet), and the long end of the Treasury curve rallied — all while the dollar sat essentially flat (101.51) and MOVE ticked marginally higher rather than following crude and gas lower. That divergence is the tell: rates vol has not repriced with spot risk, which keeps the Treasury channel's downgrade path a two-leg proposition even as the 30Y itself moves toward release. US Henry Hub remains 10.2% BELOW pre-war — still a Hormuz/LNG-routing shock, not a global-energy shock. With both AAA and DOE gasoline now dark for four and eight sessions respectively, the political channel is the war's most opaque market read heading into a day that carries both a Netanyahu–Trump meeting and an FOMC opening session.

3 · Shock score

Total: 25/30 — CRISIS band. Band thresholds: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis.

Channel	Score	Rationale	Triggers
Maritime denial	5/5	Held at 5 (max). Strait closed to commercial traffic, day ~150; transits ~17% of typical (15 vs 88/day); 445–540 anchored (revised basis); 92 tankers AIS-dark in 24h vs a 70.9 average; war-risk ~8x, VLCC ~\$2.5m; six P&I clubs withdrawn; 8 of 9 major carriers rerouting via the Cape. Iran's public claim to now 'control' the strait is rhetoric, not a verified change — no confirmed reopening.	↑ at max. ↓ verified reopening (escorted convoys) with traffic above 25% of normal for 10 sessions → to 3–4.
Oil price shock	2/5	Held at 2 — and the gap widened sharply. 27 Jul close \$85.87 (–\$5.81, second straight decline), \$13.39 below the \$95 trigger; intraday \$85.40, \$9.60 below. Two-close rule kept the channel from whipsawing on the way up through Thursday's \$95 approach and now spares a symmetric move down. Active COA prints \$87.94, \$12.75 off Thursday's \$100.69.	↑ Brent above \$95 sustained → to 3. ↓ mediated pause + close at/below the \$72.48 anchor → to 1.
US inflation impulse	4/5	Held at 4 — the war's closest trigger approach receded. 5Y5Y closed 2.2617% (–2.6 bp from Friday's 2.2877% peak), 3.8 bp from the line; intraday 2.2603%. 10Y breakeven stayed below its pre-war anchor for a second session (2.2028%), consistent with pass-through pricing rather than a fresh spot spike.	↑ 5Y5Y sustained above 2.30% → to 5. ↓ 5Y5Y sustained at/below the 2.142% pre-war anchor → to 3.
Treasury stress	5/5	Held at 5 — both downgrade legs still fail, but only one is moving toward release. 30Y closed 5.1365% (13.65 bp above the 5.00% leg, narrowed from 15.74 bp), prints 5.1239% (12.39 bp); MOVE's confirmed close ticked UP to 77.21, 2.2 pts above its 75 leg — the two legs are no longer moving together.	↑ at max. ↓ 30Y close under 5.00% with MOVE under 75 sustained → to 4.
Political stress	4/5	Held at 4 — frozen exactly AT the trigger. AAA \$4.75 (24 Jul print, latest confirmed) — ninth consecutive rise, sitting on the \$4.75 line but not through it; 25–28 Jul prints pending, the longest gap of the war outside JGLA. DOE weekly overdue since 27 Jul. Evaluated on confirmed prints only.	↑ gasoline above \$4.75 sustained → to 5. ↓ toward the \$3.52 pre-war level → to 3.
Escalation risk	5/5	Held at 5 (max). The strike pause extended to a third night and Iran–Oman talks advanced toward a transit framework — genuine de-escalation signals — but no mediated stand-down has been declared and the administration's 'locked and loaded' posture stands. A downgrade needs a mediated stand-down plus resumed formal talks — a third quiet night is a necessary step, not yet the event.	↑ at max. ↓ mediated stand-down + talks resume → to 4–3.
TOTAL	25/30	CRISIS band — tenth session at 25, with the market tape now confirming the weekend de-escalation on closes: Brent's first back-to-back daily declines of the war, the 10Y's three-close-above run broken, and the inflation-complex approach receding. Political stress is frozen mid-approach by a data gap, not a reversal. With both event channels maxed, only the four market channels can move the score — in either direction — and today brings a Netanyahu–Trump meeting and an FOMC opening session that could move several of them at once.	

4 · What's changed since the last edition (27 Jul → 28 Jul AM)

Score holds at 25/30 for a tenth session — but the weekend de-escalation is now confirmed on closes, not just intraday prints. No channel moved. Source: Bloomberg.

The strike pause extended to a third consecutive quiet night. No new US strikes 25–27 Jul; the Pentagon and White House continue to call the campaign 'on a hold'; the naval blockade stays fully operational. Trump on 27 Jul dismissed reports of dwindling munitions stockpiles. Iran's military says its own retaliatory operations are likewise paused. Source: DoD / White House / NPR / CBS.

Iran–Oman talks advanced toward an actual transit framework. Weekend technical consultations reportedly progressed toward Iran managing Hormuz vessel transit with reduced restrictions — closer to the June interim deal — though nothing is signed; Iran separately claimed publicly to now 'control' the strait, a rhetorical escalation of its negotiating position, not a verified change on the water. Source: Fortune / The Hill.

Crude posted the war's first back-to-back daily close declines. Brent: \$94.26 (23 Jul close) → \$91.68 (24 Jul) → \$85.87 (27 Jul, –\$5.81) → \$85.40 intraday. The active COA contract gave back its entire triple-digit excursion, from Thursday's \$100.69 close to \$87.94. TTF fell a second straight session, €6.60 off the 24 Jul record. Source: Bloomberg.

5Y5Y receded from the war's closest trigger approach. The 27 Jul close, 2.2617%, pulled back 2.6 bp from Friday's 2.2877% — now 3.8 bp from the →5 line on a close basis rather than 1.2 bp. The 10Y breakeven stayed below its pre-war anchor for a second session. Source: Bloomberg.

The 10Y's three-close-above run on Stage-4 Threshold B broke. 27 Jul closed 4.6487%, 0.13 bp below the 4.65% line, after three consecutive closes above (22–24 Jul); prints 1.55 bp below intraday. The 30Y's cushion above its own 5.00% downgrade line narrowed to 12.4 bp intraday even as its gap to the 5.20% upside line widened to 7.6 bp. MOVE's confirmed close ticked UP to 77.21, undoing part of Friday's snap. Source: Bloomberg.

Gasoline data gap widened to four sessions — the longest since JGLA. AAA's last confirmed print remains \$4.75 (24 Jul); 25–28 Jul are pending. The DOE weekly print expected 27 Jul has not landed either. The political channel holds at 4 on the last confirmed data. Source: AUTMUSAG / USFRUSA via Bloomberg.

Two live catalysts open today. Netanyahu meets Trump at the White House at 11am ET, their first sit-down since before the war — Iran 'first and foremost' on the agenda. The FOMC's two-day meeting also opens today; hike odds have risen to roughly 34% from 13% a week ago. Source: Times of Israel / Fortune / CME FedWatch.

5 · Scenario map · next 7 to 30 days

Scenario	P	Description	Market path
Return to full war	29%	Still the modal path but weakening for a second straight edition: three quiet nights, an advancing Oman transit framework, and Netanyahu's visit could still reset Washington toward escalation if it goes the other way — the administration's 'locked and loaded' posture is unchanged.	Brent \$105–140; MOVE above 90; oil to 3–4, political to 5, US-inflation to 5; score 28–30.
Mediated pause — the ceasefire sticks	20%	The strongest version of this scenario all war: three consecutive quiet nights, a substantive Oman transit framework rather than just talks, Trump downplaying operational strain, and a market pricing the unwind on closes rather than just intraday. Needs today's Netanyahu meeting not to reset it and Iran to formalize the framework.	Brent \$74–85; MOVE under 72; Treasury→4, US-inflation→3, escalation→4; score falls toward 19–21.
Contained but violent — blockaded stalemate	18%	Strikes stay paused at low intensity, escort-only transits continue, and the Jizan/Yanbu exchange doesn't escalate further — but nothing is resolved and the blockade holds indefinitely.	Brent \$82–92; MOVE 72–82; risk premium \$10–20/bbl; score holds 24–25.
Deal collapse — MoU formally lapses	18%	The Oman transit framework is rejected or stalls, the pause is revealed as tactical rather than genuine, and strikes resume without a formal ceasefire ever forming. The three-night pause makes this marginally less likely this week, but nothing is signed yet.	Brent \$92–108; oil back to 3; 30Y back above 5.15% toward the 5.20% leg; score 26–27.
Regional relapse — Gulf energy infrastructure hit	15%	No new Houthi attack since the 25 Jul weekend, but the demonstrated capability against Jizan and the near-miss at Yanbu stand; Saudi Arabia's entry into direct combat is an unresolved escalation channel that a single landed hit on the export corridor would reactivate.	Brent \$150+; emergency policy response; HY spreads above 500 bp; score 29–30.

Probability shifts from the 27 Jul edition: mediated pause +6 (14→20) — a third consecutive quiet night plus an actual Oman transit framework (not just talks) is the strongest de-escalation signal of the war; full war –4 (33→29) — still modal but weakening for a second edition running; contained-but-violent –1 (19→18) and deal collapse –1 (19→18); regional relapse unchanged (15). Driver: the pause held through a third night and the market repriced it on CLOSES, not just intraday — but Netanyahu's visit and the FOMC both land today, either of which could reverse the drift.

6 · Watchlist · next 24 to 72 hours

Netanyahu–Trump, 11am ET today. Their first meeting since before the war; Iran 'first and foremost.' A signal toward formalizing the pause supports the mediated-pause path; a hawkish readout (or a resumed-strikes signal) reprices the whole weekend unwind back in.

FOMC · Tuesday–Wednesday 28–29 Jul. Hike odds have risen to roughly 34% from 13% a week ago; Chair Warsh's public line is that inflation 'remains too high' and he has welcomed a 'family fight' among committee members. A hawkish hold or hike re-arms the long end and Stage-4 B; a dovish surprise accelerates the Treasury-channel release path (30Y under 5.00% with MOVE under 75 — currently 12.4 bp and 2.2 pts away, and only the 30Y leg is currently moving that way).

US-inflation →5 (5Y5Y above 2.30% sustained) — 3.8 bp, receding. Friday's approach to 1.2 bp was the war's closest; the 27 Jul close pulled back to 3.8 bp. Whether the FOMC reopens the approach or extends the pullback is the channel's live question.

Political →5 (\$4.75) — AT the line, four prints pending. The ninth consecutive AAA rise landed exactly on the threshold on 24 Jul; 25–28 Jul haven't printed. The DOE weekly is also overdue. Whether the backfill shows a tenth rise through \$4.75, a stall, or a reversal with crude is unresolved — the longest data blackout since the JGLA stale-carry episode.

10Y reset status on Threshold B. 27 Jul closed 0.13 bp below the 4.65% line after three closes above; one more sub-line close formally resets the leg's sustained status and further disarms B.

Yanbu re-attack risk — the demonstrated tail, dormant since the weekend. Jizan proved reach and Yanbu's intercepts held once; no further Houthi action has landed since. A hit that lands on the roughly 92% export corridor is the regional-relapse trigger and reprices crude, breakevens and bond vol together, at full amplitude.

Gas complex — unwind now in its second session. TTF €56.98 after the €63.58 record; Asia LNG ¥3,492, no 28 Jul print yet — verify the next JGLA print fresh, never carry.

7 · Source log · this edition

Tier 1 — primary market data. Bloomberg Terminal extract (US Iran BBG Data.xlsx, restated front-month continuation series). Tickers: CO2/CL2 Comdty (Brent/WTI front-month; the CL2 artifact persists — CL2 closed \$80.25 vs active CLA \$82.61 on 27 Jul; WTI is read off the active board); COA/CLA Comdty (active, unscored — COA closed \$88.36, prints \$87.94); NGA/TZTA/JGLA Comdty (JGLA printed fresh 27 Jul at ¥3,492, –¥101 off the 24 Jul record; no 28 Jul print); USGG2YR/5YR/10YR/20YR/30YR Index; USYC2Y10; USGGBE10 (27 Jul close 2.2028 — below the pre-war anchor for a second session); USGG5Y5Y (27 Jul close 2.2617 — 3.8 bp from the →5 trigger); SOFRRATE (lagged, 24 Jul, 3.64%); MOVE and VIX (27 Jul closes 77.21 / 18.67; 28 Jul lagged, carried and labelled); DXY; AUTMUSAG (AAA pump — score reference; latest confirmed print 24 Jul \$4.75; 25–28 Jul pending) and USRFRUSA (DOE regular spot, weekly — corroboration; 20 Jul print \$4.001; 27 Jul weekly print overdue).

Tier 1 — news and institutional. US DoD / White House via NPR, CBS News, CNBC and Al Jazeera (strike pause held a third consecutive night; 'on a hold' framing; naval blockade fully operational; Trump dismissed dwindling-stockpile concerns 27 Jul), Fortune (Iran–Oman transit-framework negotiations; 12 commercial vessels redirected, two disabled, two boarded over the weekend), Times of Israel / Foreign Policy / Axios (Netanyahu–Trump meeting confirmed for 11am ET today, Iran the top agenda item, security posture around the visit), Washington Times / Washington Institute for Near East Policy (Michael Singh on the significance of a sustained pause), TechTimes citing NASA FIRMS satellite thermal data / Al Jazeera / The National / CNBC (Jizan refinery fires, Yanbu intercepts, Saudi retaliatory strikes on Hodeidah — no new exchange reported since the weekend), CME FedWatch via Fortune (FOMC hike-probability repricing to ~34% from

~13% a week earlier; Chair Warsh's public 'family fight' framing and inflation-too-high line), Bloomberg / TradingEconomics (OPEC+ August quota increase; CPC Black Sea terminal drone-strike risk persists), straits.live / Windward / IMF PortWatch (day count, transits 15 vs 88/day — ~17% of typical, 19 Jul count; 445–540 anchored on a revised basis; 92 AIS-dark in 24h vs 70.9 avg; ~8× war-risk cover; six P&I withdrawals; 8-of-9-carrier disruption).

Tier 3 — state media and combatant claims (labelled). Iran's public assertion that it now 'controls' the Strait of Hormuz (The Hill, citing Iranian officials) is a negotiating-posture claim, not a verified change in transit access, and is not used for any scoring decision. The Houthi military statement (Brig. Gen. Yahya Saree) claiming successful strikes on Jizan and Yanbu is a combatant claim — the Jizan fires are independently corroborated by satellite thermal data; the Yanbu intercepts are corroborated by multiple Tier 1 outlets. IRNA, Mehr, Press TV used only with explicit role labels; none used this edition.

8 · On-demand update protocol

#	Step	Detail
1	Refresh the Bloomberg extract	Parse the latest dated row (28 Jul) as intraday; reclassify 27 Jul as a final close; re-map columns via the robust scan (front-month CO2/CL2; both gasoline series checked — AAA and DOE both pending since 24–25/20 Jul respectively; JGLA checked fresh, printed 27 Jul ¥3,492, no 28 Jul print, flagged not carried; MOVE/VIX 28 Jul lagged, 27 Jul closes carried and labelled; SOFR lagged 24 Jul).
2	Recompute deltas	d/d vs the 27 Jul close; w/w vs the close five trading sessions back (21 Jul this edition); vs-pre-war vs the 27 Feb 2026 anchor (re-verified, unchanged).
3	Re-evaluate the six channels	Market channels move on confirmed closes only — all held: oil 2 (close \$85.87, gap widened to \$13.39); Treasury 5 (30Y 5.1365% above 5.00%; MOVE 77.21 above 75); US-inflation 4 (5Y5Y 2.2617%, 3.8 bp under 2.30%); political 4 (AAA \$4.75 confirmed, exactly on the \$4.75 line, not through it). Maritime/escalation event-based, both maxed — three quiet nights is not yet a mediated stand-down.
4	Reconcile against the prior edition	The US session took the tape DOWN through the Asia snapshot for a second consecutive session: Brent 27 Jul intraday (quoted in the prior edition) \$87.88 → close \$85.87 (–\$2.01); 10Y 4.6365% → 4.6487%; 30Y 5.1218% → 5.1365%; TTF €58.50 → €58.253; 5Y5Y 2.2799% → 2.2617% — every series the prior edition carried as intraday confirmed lower or flat on the close.
5	Update scenarios and watchlist	Re-rank catalysts: Netanyahu–Trump (11am ET today) and the FOMC opening (28–29 Jul) both land today; US-inflation→5 (3.8 bp, receding), political→5 (AT the line, four prints pending), 10Y reset status on Threshold B (one more sub-line close needed); mediated pause 14→20, full war 33→29.

9 · Methodology

Shock-score scale. Six transmission channels (maritime denial, oil price shock, US inflation impulse, Treasury stress, political stress, escalation risk), each 0–5, summed to 0–30. Bands: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis. Market/economic channels move only on a confirmed close through a trigger; escalation-risk is event-based. Hysteresis note: upgrades fire on a sustained break; downgrades only on a sustained reversal past a wider threshold — deliberately, to avoid whipsawing. This edition illustrates the discipline working in both directions on the SAME channel: Stage-4 Threshold B's 10Y leg needs a second consecutive sub-line close to formally reset its three-close-above 'sustained' status (only one such close has landed, 27 Jul), while the Treasury channel's own downgrade leg requires the 30Y sustained below 5.00% together with MOVE sustained below 75 — the 30Y is moving that way for a second session, but MOVE's confirmed close ticked the wrong way on 27 Jul, so neither reset nor downgrade has occurred. Scale cap: maritime and escalation are both at 5/5, so neither the pause's extension to a third night nor the advancing Oman talks (already-maxed channels) can move the score — only the four market channels can, in either direction.

Gasoline series. Political-stress is scored on AUTMUSAG (AAA all-grades retail pump; pre-war \$3.52, peak \$5.18, latest confirmed print \$4.75 on 24 Jul — a ninth consecutive rise, sitting exactly on the \$4.75 threshold) for continuity; the 25–28 Jul prints are pending in the extract and the channel holds until they are confirmed — per the parser discipline established after the JGLA stale-carry episode, a missing print is flagged, never carried forward as if confirmed. USFRUSA (DOE regular-grade retail spot; pre-war ~\$2.94, peak \$4.50, latest \$4.001 on 20 Jul; the 27 Jul weekly print is overdue) is tracked alongside. See the chart in section 1.

Pre-war anchor (27 Feb 2026 close). Brent \$72.48; WTI \$67.02; 2Y 3.375%; 5Y 3.502%; 10Y 3.938%; 30Y 4.611%; 2s10s +55.64 bp; 5Y5Y 2.142%; 10Y BE 2.257%; MOVE 73.38; VIX 19.86; DXY 97.608; gasoline (AAA) \$3.52; Henry Hub \$3.06; TTF €31.23; Asia LNG ¥1,669. (Re-verified — unchanged.) Brent +17.8%, WTI +19.0%, TTF +82.5%, Asia LNG +109.2% (27 Jul print); the 30Y (+51.3 bp), 10Y (+69.7 bp), 5Y5Y (+11.8 bp), MOVE (+3.83) and DXY (+3.90) sit above their anchors; the 10Y breakeven (–5.4 bp) remains below its anchor for a second session, and VIX and US Henry Hub remain below pre-war — the Hormuz/LNG-routing signature intact.

Intraday caveat. The latest dated row is a Singapore-AM intraday snapshot; US-hours trading and headlines set the close (recent reconciliation gaps on Brent: –\$0.90, +\$1.91, +\$0.60, +\$3.10, –\$1.81, –\$2.01 — the 27 Jul session was the SECOND straight session to close the crude tape below the Asia snapshot, the first repeated occurrence of the war). Tuesday-edition note: MOVE and VIX carry the 27 Jul closes, labelled; the UST curve printed live this morning. The CL2 WTI series remains flagged as a data artifact against the active CLA contract; WTI levels are read off the active board pending resolution. Market-channel triggers are evaluated on confirmed closes; escalation-risk is event-based. Absolute levels use the restated continuation series and are not directly comparable with pre-restatement editions, though the directional analysis is continuous.